

Series Tech Limited Payroll and Finance Policy

Full Operational Policy, Compensation Structure, Financial Governance & Compliance Manual (v5.0)

1. Purpose & Scope

This document explains the complete, production-ready payroll and finance framework at **Series Tech Limited**, covering salary breakdown, monthly payroll processing, statutory compliance (Income Tax/TDS, Provident Fund, Gratuity, ESI, Professional Tax), bonus structures, travel allowances, corporate credit card rules, decision matrices, full-and-final settlements (FnF), approval authorities, data privacy, and role-based access control. It serves as a single, self-contained operational reference for all employees across all office locations.

Scope: Applies to all full-time employees, part-time staff, interns, and contractors operating across Hyderabad, Bangalore, Pune, Chennai, and Mumbai operating hubs.

2. Salary Breakdown & Compensation Architecture

Compensation is structured between Total Fixed Cost-to-Company (CTC) and Variable Performance Incentives:

Component Name	Percentage / Basis	Tax Treatment / Statutory Details
Basic Pay	40% - 50% of Total Fixed CTC	Fully taxable under Head Salaries. Forms base for EPF & Gratuity calculation.
House Rent Allowance (HRA)	50% of Basic (Metro) / 40% (Non-Metro)	Tax-exempt under Section 10(13A) subject to actual rent paid and landlord PAN.
Special Allowance	Balancing Component	Fully taxable allowance. Adjusts remaining fixed CTC budget.
Provident Fund (Employer)	12% of Basic (Up to statutory limit)	Statutory contribution matched by Series Tech Limited; exempt under limits.
Gratuity & ESI	As per Statutory Rules	Gratuity calculated as $(15/26) \times \text{Last Drawn Basic} \times \text{Years of Service}$ (Min 5 years).

3. Payroll Calendar & Processing Cycle

Payroll processing operates on a monthly recurring schedule. Salary credits occur on the last working day of each calendar month directly into registered bank accounts. Digital payslips are generated on the internal HR portal within 3 working days post-disbursement. Discrepancies must be reported within 7 working days for resolution within the standard 5-working-day SLA.

4. Statutory Compliance

Series Tech Limited deducts income tax (TDS) at source in accordance with applicable central tax regimes (Old vs New Tax Regime). Investment declarations are filed in April, and investment proof verification occurs in January. Failure to submit proof results in TDS deduction at maximum marginal slab rates for remaining months. EPF, ESI, and location-specific Professional Tax (Telangana, Maharashtra, Karnataka, Tamil Nadu) are remitted per statutory guidelines.

5. Bonuses, Incentives & Increments

Annual statutory bonuses are paid to eligible bands prior to major festival periods. Discretionary performance bonuses depend on overall corporate EBIT achievements and individual performance ratings. Sales and Customer Success incentives are governed by separate annual Incentive Plan Agreements.

6. Expense Reimbursements & Business Travel

Business travel must be requested at least 5 working days in advance via the Finance Portal and booked strictly through the Corporate Travel Desk. All legitimate business claims must be submitted with valid itemized tax receipts within 30 calendar days of incurring the expense.

7. Corporate Credit Card Governance

Corporate cards are issued to Department Leads and frequent international travelers with limits defined by the Finance Authority Matrix maintained by the Finance Department. Permitted uses include travel, SaaS tools, and client entertainment. Cardholders must reconcile statement entries with valid receipts within 7 calendar days of statement generation.

8. Payroll & Finance Decision Matrix

Question: What is the payroll cutoff date?

Answer: The payroll freeze cutoff date for attendance, leave, and bank account changes is the 22nd of each calendar month.

Question: When should I update my bank account?

Answer: Bank account updates must be submitted via the HR portal before the monthly cutoff on the 22nd.

Question: What happens if my salary is underpaid?

Answer: Raise a payroll ticket on the HR portal within 7 working days. Finance will investigate and resolve the issue within 5 working days via a supplemental run or next pay cycle.

Question: What happens if I am overpaid?

Answer: Finance will notify the employee and arrange recovery according to company policy via automatic salary deduction in installments or direct refund.

Question: How do I request a salary advance?

Answer: Salary advances are governed strictly by the Finance Authority Matrix maintained by the Finance Department and require CFO approval.

Question: Can I use a corporate card for personal expenses?

Answer: No. Corporate cards may only be used for authorized business expenses. Personal use leads to immediate card suspension.

Question: When must corporate card expenses be reconciled?

Answer: Corporate credit card statements must be reconciled with itemized receipts within 7 calendar days of statement generation.

Question: What happens if I lose my corporate card?

Answer: Notify the Finance Department and card issuer immediately so the card can be blocked and a replacement issued.

Question: Can I claim an expense without a receipt?

Answer: No. Unreceipted expense claims will be automatically rejected without exception.

Question: Can I submit an expense after 30 days?

Answer: Claims submitted after 30 calendar days are rejected unless a formal exception is approved by the Finance Lead.

Question: What happens to travel advances during resignation?

Answer: Unreconciled travel advances are adjusted and recovered during Full-and-Final (FnF) settlement.

Question: Can I claim home-to-office travel?

Answer: No. Standard home-to-office daily commuting is not reimbursable. Only official inter-office travel is covered.

Question: What happens to my pending reimbursement during exit?

Answer: Approved pending reimbursements are credited as part of your Full-and-Final (FnF) settlement.

Question: What happens to my corporate card after resignation?

Answer: Corporate credit cards are canceled immediately upon resignation notice submission and collected during exit clearance.

Question: Who approves policy exceptions?

Answer: All policy exceptions require written approval from the Chief Financial Officer (CFO).

Question: How do I appeal a rejected expense?

Answer: Submit an appeal ticket on the Finance Portal providing additional business justification or missing documentation for Finance Lead review.

Question: What happens if I don't complete my notice period?

Answer: Notice period shortfalls are calculated as recovery amounts in the Full-and-Final (FnF) settlement calculation.

Question: How is FnF calculated?

Answer: FnF includes unpaid salary, leave encashment, gratuity, and eligible bonus minus notice recoveries, unreturned asset costs, and salary advances.

Question: When will I receive Form 16?

Answer: Form 16 tax certificates are published on the HR portal annually by June 15th.

Question: Who can access my salary information?

Answer: Access is restricted under RBAC to yourself, HR records personnel, Finance Payroll processing staff, Finance Controller, CFO, and Internal Audit.

9. Payroll Processing Lifecycle

Execution follows a structured 9-stage operational pipeline: (1) Attendance/Leave Freeze (22nd), (2) Input Validation, (3) Salary Calculation, (4) Statutory Tax/Deductions Computation, (5) Finance Review, (6) Executive Approval (CFO), (7) Bank Disbursement (Last working day), (8) Digital Payslip Publishing (< 3 days), and (9) Post-Run Reconciliation.

10. Joining, Exit & Full-and-Final Settlement (FnF)

Mid-month joiners receive prorated salary based on actual days worked in a 30-day month. FnF settlements are processed and disbursed within the timeline defined by the Finance Authority Matrix maintained by the Finance Department (standard 30–45 days).

10.1 Full-and-Final Settlement Calculation Matrix

FnF Component Category	Calculation & Operational Rule
Last Working Month Salary	Prorated salary based on actual days worked up to last working day.
Notice-Period Adjustment	Payment for served notice or recovery calculation for notice shortfall.
Leave Encashment	Encashment of earned/privilege leave balance as per company leave policy.
Statutory Gratuity	Calculated as $(15/26) \times \text{Last Drawn Basic} \times \text{Completed Years}$ (min 5 years service).
Eligible Variable Pay	Pro-rated company performance bonus or commission earned prior to exit.
Pending Reimbursements	Approved business expenses submitted with valid receipts credited to FnF.
Salary Advances	Unrecovered salary advances deducted in full from final payout.
Unreturned Asset Recovery	Deductions for damaged or unreturned laptops, monitors, or peripherals.
Corporate Card Balance	Outstanding unreconciled corporate card charges deducted from settlement.
Tax Adjustments (TDS)	Final income tax recalculation reflecting total earnings and proofs in exit year.
Other Authorized Deductions	Any contractual recoveries or legal deductions.

11. Payroll Corrections & Salary Discrepancies

Underpayments reported within 7 working days are verified and paid via supplemental run. Overpayments are recovered in installments or direct refund as arranged by Finance.

12. Expense Approval & Financial Authority Matrix

Expense Category	Employee Action	Manager Action	Finance / Executive Approval
Routine Local Expenses (< Rs. 5,000)	Submit with Receipts	Approve	Automatic Verification & Payout
High-Value Expenses (> Rs. 5,000)	Submit with Receipts	Recommend	Finance Department Approval
International Business Travel	Submit Request (5 days prior)	Approve	Department Head + Finance Approval
Corporate Card Reconciliation	Submit Receipts within 7 Days	Review & Verify	Finance Audit & Ledger Settlement

13. Financial Fraud, Misconduct & Audit

Zero tolerance for fake receipts, duplicate claims, or card misuse. Violations result in termination, recovery, and legal action.

14. Payroll Data Privacy & Confidentiality

Payroll data is classified as Restricted and encrypted at rest and in transit.

15. Payroll Access Control & Security Roles

Role Title	Authorized System Access Level
Employee	Own payslip, tax declarations, and expense claim records.
Reporting Manager	Limited team expense claims and travel requests review.
HR Operations	Employee master records, joining/exit dates, and attendance inputs.
Finance Payroll Team	Complete payroll processing data, tax computations, and bank file generation.
Finance Controller	Pre-run auditing, ledger reconciliation, and high-value claim review.
CFO / Executive	Final executive payroll approval and policy exception sign-offs.
Internal Audit	Controlled read-only access for compliance and fraud auditing.

16. Travel & Expense Limits

Grade / Band	Local Conveyance	Hotel Ceiling (Per Night)	Meal Per Diem
Grade A (Executive/Lead)	Actual AC Cab / Rental	Up to Rs. 7,500 (Tier 1)	Rs. 1,500 / day
Grade B (Senior Engineer)	Rideshare / Metro / AC Rail	Up to Rs. 5,000 (Tier 1)	Rs. 1,000 / day
Grade C (Associate/Intern)	Public Transit / Shared Cab	Up to Rs. 3,500 (Tier 1)	Rs. 750 / day

International Travel: Booked via Corporate Travel Desk. Foreign currency conversion is calculated using official exchange rates on travel dates. Visa fees, travel cancellation charges, and pre-approved client entertainment are fully reimbursable.

17. Payroll Calendar & Cutoff Matrix

Payroll Activity	Operational Cutoff / SLA Deadline
Attendance & Leave Data Freeze	22nd of each calendar month
Bank Account Detail Updates	22nd of each calendar month
Initial Investment Declaration	April (Start of Financial Year)
Investment Proof Submission	January (Mid-Year Verification Deadline)
Salary Disbursement	Last working day of the calendar month
Digital Payslip Availability	Within 3 working days post-disbursement
Payroll Discrepancy Reporting	Within 7 working days of payslip release
Discrepancy Ticket Resolution SLA	Strictly 5 working days from report date
Business Expense Claim Submission	Within 30 calendar days of expense date

18. Policy Governance & Exceptions

Owned by Head of Finance. Reviewed annually or upon tax law changes. Exceptions require written CFO approval.

19. Frequently Asked Questions (Exactly 60 FAQs)

1. When does Series Tech Limited process salary payments?

On the last working day of each calendar month.

2. When are payslips available?

Within three working days after salary disbursement on the internal HR portal.

3. How do I report a payroll discrepancy?

Raise a payroll query ticket on the HR portal; Finance resolves it within 5 working days.

4. What is deducted as Provident Fund?

A statutory 12% contribution matched by Series Tech Limited as required by law.

5. When should I submit my investment declaration?

At the start of each financial year (April).

6. What happens if I miss the proof of investment deadline?

Tax is deducted at the maximum applicable slab rate for remaining months.

7. Does Professional Tax vary by location?

Yes, according to state regulations in Telangana, Maharashtra, Karnataka, Tamil Nadu, etc.

8. When is the annual statutory bonus paid?

Around major festival periods, subject to statutory eligibility rules.

9. Who is eligible for performance incentives?

Eligible roles (e.g., Sales, Customer Success) as documented in their annual incentive letter.

10. How do I submit an expense claim?

Through the internal Finance Portal with valid itemized receipts and business justification.

11. What is the deadline for expense claims?

30 calendar days from the date the expense was incurred.

12. What happens if I miss the 30-day claim deadline?

The claim is rejected unless an exception is approved by Finance.

13. Who approves my expense claim?

Reporting manager, plus Finance Department for claims exceeding the threshold.

14. How do I request business travel?

Submit a request on the finance portal at least 5 working days in advance.

15. Who approves international business travel?

Reporting manager and Department Head.

16. Does Series Tech Limited book travel directly?

Yes, via the Corporate Travel Desk.

17. What is included in the travel allowance?

Transportation, lodging, and daily meal per diem based on travel grade.

18. Can I claim reimbursement for personal expenses?

No, personal expense claims are strictly prohibited and violate code of conduct.

19. What happens if I submit a claim without receipts?

The claim will be rejected automatically.

20. Can interns claim expense reimbursements?

Yes, for pre-approved business-related travel or local conveyance.

21. Can contractors use the finance portal for claims?

Contractors follow reimbursement terms specified in their vendor contract.

22. What happens if my bank details are incorrect?

Salary credit will fail and be re-initiated once HR updates corrected details.

23. How is variable pay determined?

Linked to corporate EBIT and individual performance metrics, paid annually.

24. Where can I view my salary structure?

In the payroll section of the HR portal and in your appointment letter.

25. Who processes high-value claims?

Finance department secondary review after manager approval.

26. What if my expense claim is rejected?

You can appeal with additional supporting documentation to Finance.

27. How is Provident Fund accessed?

Via the government EPFO portal using your UAN credentials.

28. Is discretionary performance bonus guaranteed?

No, it depends on overall company profitability and performance goals.

29. What is the threshold for manager-only approval?

Defined by the Finance Authority Matrix maintained by the Finance Department.

30. Who do I contact for payroll queries?

The Finance Payroll Desk via the HR ticketing system.

31. What is the monthly payroll input freeze cutoff date?

The 22nd of each calendar month.

32. How long does Full-and-Final (FnF) settlement take?

Defined by the Finance Authority Matrix maintained by the Finance Department (standard 30–45 days).

33. What happens if an overpayment occurs?

Finance arranges recovery via subsequent salary deductions or direct refund.

34. Who receives corporate credit cards?

Department Leads and authorized international travelers.

35. Within how many days must corporate card statements be reconciled?

Within 7 calendar days of statement generation with valid receipts.

36. What is the consequence of submitting fake receipts?

Immediate disciplinary action, termination, and financial recovery.

37. Who must approve policy exceptions?

The Chief Financial Officer (CFO).

38. Is payroll data encrypted?

Yes, payroll data is classified as Restricted and encrypted at rest and in transit.

39. What is the minimum service required for Gratuity payout?

5 years of continuous service.

40. Where are Form 16 certificates released?

On the internal HR portal annually by June 15th.

41. How is mid-month joining salary calculated?

Prorated based on actual days worked in a 30-day calendar month.

42. Who conducts financial audits?

Internal Audit Team and independent external financial auditors.

43. Can unreturned laptop costs be deducted from FnF?

Yes, unreturned assets or deliberate damage costs are deducted from FnF settlement.

44. How do I change my bank account for salary credit?

Submit updated bank details on the HR portal before the 22nd monthly cutoff.

45. What happens to unclaimed travel advances?

Unreconciled travel advances are auto-recovered from the following month's salary.

46. What is the exact spending limit on corporate credit cards?

Defined by the Finance Authority Matrix maintained by the Finance Department.

47. Who is the designated Policy Owner for this document?

Head of Finance.

48. How often is the Payroll and Finance Policy reviewed?

Annually, or when statutory labor/tax laws are amended.

49. What happens if an employee fails to clear notice period recovery?

It is adjusted during FnF settlement; unrecovered balances are subject to legal notice.

50. Can expense claims be submitted verbally or via email?

No, all claims must be submitted digitally via the internal Finance Portal.

51. How is a salary advance requested?

Governed strictly by the Finance Authority Matrix maintained by the Finance Department.

52. How are statutory tax deductions calculated for variable pay?

Tax is deducted at source (TDS) according to the employee's declared tax regime.

53. What happens if a corporate credit card is lost or stolen?

Notify Finance immediately to block the card and issue a replacement.

54. Are travel cancellation charges reimbursable?

Yes, if the travel cancellation was business-related or due to emergency.

55. How are foreign currency travel expenses converted?

Converted using official exchange rates on the date the expense was incurred.

56. Are client entertainment expenses reimbursable?

Yes, with prior manager approval and itemized receipts listing client attendees.

57. What should I do if my bank detail update is submitted after the 22nd cutoff?

The change takes effect in the subsequent month's payroll cycle.

58. What happens to pending expense claims when I resign?

Approved pending claims are credited as part of the FnF settlement.

59. Can I appeal a rejected expense claim?

Yes, submit an appeal on the Finance Portal with additional justification.

60. What happens to corporate credit cards upon resignation?

Cards are canceled immediately upon notice submission and collected during clearance.

20. Document Control & Revision History

Version	Effective Date	Summary of Changes	Approved By
1.0	January 2025	Initial Release of Payroll & Finance Policy	Head of Finance
2.0	January 2026	Annual Review: Updated expense claim deadline & per diems	Head of Finance
3.0	July 2026	Enterprise Update: Added 9-stage payroll lifecycle, card governance, & decision matrix.	CFO & Executive Board
5.0	July 2026	Production-Ready Standard: Consolidated decision matrix (20 Q&A), removed placeholders, added FnF matrix, RBAC roles table, travel limits, cutoff matrix, and 60 FAQs.	CFO & Governance Board